

Stern's Missed Payment Shows the Capital Stack Is Still Unwinding at 9 DeKalb

A \$2 million deposit missed in a dispute with Silverstein reveals the lingering leverage and legal friction in a 2019 debt structure.

The most telling number in the latest 9 DeKalb Avenue filing is not the \$11.8 million Silverstein Capital says it is owed. It is the \$2 million deposit Michael Stern was ordered to post and did not. A missed deposit in a dispute over reimbursement costs is not a default on the tower itself.

But it is a signal that the capital stack unwind at Brooklyn's tallest residential supertall is still producing friction, and that the parties who agreed to settle in 2024 have not fully resolved who bears the residual cost.

According to a petition filed Monday in New York State Supreme Court, Stern missed a June 25 deadline to hand over \$2 million to be held in escrow while arbitration proceeds over Silverstein's \$11.8 million reimbursement demand. The demand stems from a 2024 settlement agreement that ended Silverstein's foreclosure on the tower after Stern defaulted on a \$240 million mezzanine loan originated in 2019.

The settlement was supposed to draw a line under the dispute. Stern turned over the property. Silverstein took control. The loans were resolved. But the settlement also included a mechanism for Silverstein to seek reimbursement for certain costs, and for Stern to challenge that amount if he posted a deposit. Stern challenged the amount. He did not post the deposit. An arbitrator ordered him to. He missed the deadline.

This is not a fight over the tower's operations. It is a fight over the tail end of a capital stack that was structured in 2019 with \$664 million in total debt, including a \$424 million senior loan from Otera Capital and a \$240 million mezzanine piece from Silverstein. When Stern defaulted, Silverstein bought the senior loan and took control of the asset. The 2024 settlement was the mechanism for that transfer.

What the missed deposit reveals is that the settlement did not fully extinguish the liability. It created a residual claim that Stern is now resisting, and resisting in a way that forces Silverstein to go back to court to confirm an arbitration award. That is not a sign of a clean resolution.

It is a sign that the economic tension between the original sponsor and the lender who took the asset has not been fully priced or paid. For market participants watching the distress cycle, the 9 DeKalb story is a useful case study in how long the unwind can take. The mezzanine loan was originated in 2019. The default happened. The foreclosure was filed. The auction was called off. The settlement was signed.

And now, two years after the settlement, the parties are still in court over a \$2 million deposit. The dollar amount is small relative to the tower's debt. But the legal friction is not. It tells you that the sponsor is not conceding the full cost of the loss, and that the lender is willing to enforce every dollar of the settlement rather than absorb the residual.

That is rational behavior on both sides. It is also a reminder that the post-2021 capital stack unwind is not a single event. It is a sequence of events that can stretch for years, especially when the original sponsor still has resources and incentive to fight. Who benefits from this? Silverstein, incrementally, as it enforces the settlement and recovers costs. Stern, if he ultimately reduces the reimbursement amount through arbitration.

The broader market benefits from the transparency: every court filing adds to the public record of how mezzanine enforcement actually works in a cycle where the collateral did not cover the debt. Who is exposed? Any lender or sponsor with a similar settlement structure that depends on voluntary compliance rather than immediate payment. The gap between an arbitration order and a confirmed judgment is where legal risk lives.

The next thing to watch is whether the court confirms the arbitration award and orders Stern to pay, or whether Stern raises a substantive defense that delays enforcement further. Either way, the capital stack at 9 DeKalb is still producing heat. The tower may have a new owner. The debt may have a new holder.

But the economic settlement is not complete until the last dollar of the residual claim is paid or written off.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

To discuss a financing need, recapitalization, or capital strategy:

ben@lighttowergroup.co

lighttowergroup.co